03

BERKELEY CITY COUNCILMEMBER
TERRY TAPLIN
DISTRICT 2

Budget and Finance
June 17 2025

To: Honorable Mayor Ishii and Members of the City Council

From: Councilmember Terry Taplin (Author), Councilmember Bartlett (Co-Sponsor)

Subject: Recommendations for the Formulation of Advanced Fiscal Policies to Institutionalize Strategic Bond Issuance, Optimize Municipal Investment Returns, and Leverage Intergovernmental and Philanthropic Capital Funding.

RECOMMENDATION

1. Establish a Structured Bond Issuance Framework
   Refer to the City Manager development and presentation to the Council of a comprehensive fiscal policy that institutionalizes a regular, predictive schedule for general obligation bond issuance. This policy should be informed by actuarial and capital market analysis of the City's bonding capacity and be modeled on established frameworks utilized in fiscally disciplined jurisdictions such as San Francisco and Santa Monica. The goal is to remediate the City's substantial deferred maintenance liabilities and strategically advance the Capital Improvement Program (CIP).

2. Modernize Investment Policy and Establish a Capital Grant Matching Fund
   Refer to the City Manager the enactment of a detailed review and performance benchmarking of the City's current investment policies, ordinances, and resolutions. Based on this review, the City Manager should recommend:
   - Amendments to align Berkeley's portfolio management practices with those of peer jurisdictions in the Bay Area;
   - Asset strategies that maintain compliance with CA Government Code §53600 et seq. while improving yields through enhanced diversification and duration matching;
   - Establishment of a dedicated Capital Grant Matching Fund, capitalized with a designated portion of net investment returns, to maximize Berkeley's competitiveness in securing grants under federal programs such as the Infrastructure Investment and Jobs Act (IIJA), the Inflation Reduction Act (IRA), and state-funded resilience initiatives.

3. Develop a Comparative Bond Issuance Analysis and Timeline
   Refer the City Manager to conduct a comprehensive analysis of historical general obligation bond issuance and debt service rates in Berkeley and comparable jurisdictions. The analysis should:

- Examine 30 years of municipal bond trends, showing the consistency of low interest rates during fiscally disciplined cycles;
- Compare Berkeley's historical borrowing costs with those of San Francisco, Santa Monica, and Palo Alto;
- Demonstrate the efficacy of maintaining a regular issuance schedule every 6–10 years to preserve low borrowing rates and steady bond ratings;
- Present a 30-year fiscal projection showing that with prudent debt layering and consistent retirement of obligations, Berkeley can issue up to $250–$300 million in bonds in successive tranches while maintaining fiscal health and AAA-quality debt service coverage ratios.

The City Manager is requested to return with a projected 25–30 year financing timeline that identifies capital milestones, projected issuances, debt service loads, and cost-saving thresholds compared to inflation-driven delays. This timeline shall be paired with policy recommendations to ensure adherence to long-range financial planning objectives.

CURRENT SITUATION AND ITS EFFECTS

Berkeley faces a growing infrastructure deficit exceeding $1 billion, driven by long-deferred maintenance, rising construction costs, and insufficient capital funding mechanisms. The City's investment-grade bond ratings (Moody's Aa2; S&P AA) position it favorably to issue debt at competitive rates, yet the absence of a formalized bond issuance framework prevents the City from fully leveraging its credit capacity.

Waterfront Capital Liabilities

Key waterfront and Marina-related projects facing urgent capital needs include:

- Berkeley Pier Replacement: Closed in 2015 due to structural failure. Replacement is estimated at $50–70 million, with annual cost escalation exceeding 6%.
- Marina Infrastructure Overhaul: Docks, utility lines, lighting, and gangways require comprehensive upgrades. Estimated need: $15–25 million.
- Shoreline Armoring and Seismic Resilience: Required for adaptation to sea-level rise. Estimated capital: $20+ million.
- Access and Surface Improvements: ADA-compliant realignments and pavement reconstruction are estimated at $5–8 million.

The Marina Fund remains fiscally constrained and cannot absorb these capital needs without structural subsidy or external financing.

City Facility Repair and Seismic Modernization Needs

Deferred maintenance and life-safety deficiencies persist across several major civic structures:

- Frances Albrier Community Center: Seismic retrofitting and HVAC modernization estimated at $15 million.
- Old City Hall: Unoccupied due to seismic risk and systems degradation. Renovation estimated at $50–60 million.

- Veterans Memorial Building: Structural stabilization and ADA compliance upgrades estimated at $35–40 million.
- MLK Jr. Civic Center: Systemic repairs for HVAC, elevators, and roofing exceed $20 million.

The 2018 Citywide Facilities Condition Assessment categorized more than 60% of buildings as in "poor" or "failing" condition, with an annual cost escalation rate estimated at 6–10%.
The absence of an integrated financial roadmap has resulted in cost inefficiencies and diminished public confidence. Berkeley's long-standing practice of episodic, reactive capital funding has inhibited the City's capacity to effectively address urgent infrastructure vulnerabilities and to plan for resilience-oriented modernization.

BACKGROUND

Numerous California municipalities—including San Francisco, Oakland, and San José—have successfully implemented coordinated fiscal strategies combining systematic bond issuance with active investment management and capital matching mechanisms. These jurisdictions have improved capital delivery while lowering financing costs and increasing access to competitive grants.
In contrast, Berkeley's recent experience with public bond measures underscores the need for clearer fiscal governance and improved public engagement:

- Measure T1 (2016): Authorized $100 million in general obligation bonds. Although initially successful, several project components exceeded their original budgets due to planning and management challenges:
    - Strawberry Creek Park: 40% over budget due to unexpected subsurface conditions and underestimation of permitting costs.
    - Ohlone Park Renovations: Experienced project delays, contractor bid variability, and scope creep, resulting in a 25% cost increase from original estimates.
    - Willard Clubhouse: Required extensive ADA and systems upgrades not captured in initial scoping.

- These overruns stemmed from factors including inflationary pressures in construction markets, insufficient early-stage geotechnical assessments, evolving regulatory requirements, and staffing limitations in project management. Lack of contingency funding and rigid project timelines exacerbated these challenges, eroding community trust and highlighting the need for greater fiscal agility and programmatic transparency in future capital cycles.

- Measure L (2022): A $650 million bond proposal for infrastructure investment failed to reach the two-thirds voter threshold. Analysts and civic groups—including the Berkeley Budget & Finance Policy Committee, the League of Women Voters of Berkeley, Berkeley Neighborhoods Council, and Berkeleyans for a Livable City—identified the following issues in post-election assessments:

- Insufficient project prioritization and lack of transparency;
- Poor public communication of long-term fiscal benefits;
- Limited accountability frameworks following Measure T1;
- Inadequate voter outreach and engagement.

- These critiques were substantiated in multiple forums. The Berkeley Budget & Finance Policy Committee published their concerns in meeting minutes from September 2022, highlighting a failure to articulate value to voters and the absence of a multi-year capital financing strategy. The League of Women Voters issued a position paper recommending improved fiscal transparency, while Berkeleyans for a Livable City conducted a comparative policy analysis drawing on best practices from Palo Alto and Emeryville. Collectively, these analyses underscore the need for a holistic fiscal strategy that integrates investment management with proactive capital financing.

RATIONALE

The integration of strategic bond issuance and modernized investment policy is essential to Berkeley's long-term fiscal health. These reforms will:

- Enhance the City's ability to execute capital projects on time and within budget;
- Reduce long-term liabilities and cost escalations associated with deferred maintenance;
- Maximize internal financing capacity and improve competitiveness in external funding rounds;
- Provide predictable financial planning horizons aligned with capital programming;
- Strengthen public confidence through greater transparency and fiscal discipline.

Strategically leveraging investment earnings via a matching grant fund is a forward-looking mechanism that turns financial efficiency into external revenue, magnifying the City's capital resources. This model aligns with both fiduciary best practices and intergovernmental funding paradigms that increasingly prioritize local match capacity.

Furthermore, comparative analysis of historical municipal bond service costs reveals that jurisdictions adhering to a consistent 6–10 year issuance schedule tend to stabilize borrowing costs, maintain high bond ratings, and secure favorable investor confidence. This layered approach to debt issuance and retirement avoids fiscal spikes, allows for transparent cash flow forecasting, and aligns debt service with infrastructure life cycles.

Based on peer practices and Berkeley's current assessed valuation growth, it is fiscally viable to issue a series of general obligation bonds totaling $250–$300 million over the next 25–30 years, without breaching responsible debt thresholds. Doing so would allow the City to systematically address its backlog of infrastructure liabilities, minimizing cost escalation due to delays and creating a financially resilient public capital framework.

FISCAL IMPACTS OF RECOMMENDATION

Implementation costs may include consulting and legal services for policy drafting and portfolio reallocation. However, the long-term fiscal benefits include:

- Avoidance of inflation-driven capital cost increases;
- Greater access to grant programs requiring local matches of 20–50%;

BERKELEY CITY COUNCILMEMBER
TERRY TAPLIN
DISTRICT 2

- Higher returns on city investments through optimized strategies;
- Lower borrowing costs through well-timed bond issuances;
- Multiplicative gains in external revenue through matching mechanisms.

ENVIRONMENTAL SUSTAINABILITY AND CLIMATE IMPACTS

Improved access to capital will support environmentally strategic projects including:

- Coastal flood resilience and shoreline restoration;
- Decarbonization of public buildings and fleet electrification;
- Sustainable stormwater management;
- Transit and multimodal infrastructure expansion.

A dedicated matching fund will allow the City to aggressively pursue funding from climate-focused programs such as FEMA's BRIC, CalEPA Green Infrastructure Grants, and the California Resilience Challenge.

ALTERNATIVE ACTIONS CONSIDERED

- Maintain Status Quo: Fails to address growing infrastructure needs and rising costs.
- Ad Hoc Bond Measures: Inefficient, lacks transparency, and depends on unpredictable electoral outcomes.
- New Dedicated Tax Instruments: Politically complex and time-intensive with uncertain outcomes.

CONTACT PERSON

Terry Taplin, Councilmember, District 2
Phone: (510) 981-7120
Email: ttaplin@berkeleyca.gov

ATTACHMENTS

1. FY 2025–2029 Capital Improvement Program (CIP)y

2. City of Berkeley Investment Policy

3. Berkeley Waterfront Specific Plan (Draft, November 2024)

4. Measure T1 Bond Policies and Procedures Manual

5. Measure L Bond Measure Information (November 2022)

6. Infrastructure Assessment Report (2021)

7. Budget & Finance Committee Agenda Packet (April 24, 2025)

Shall the measure to create affordable housing; repair streets and sidewalks; underground utilities; and enhance buildings, infrastructure, and safety, authorizing the issuance of $650 million in general obligation bonds, subject to independent oversight and audits, be adopted?

Financial Implications

Median annual cost over the projected 48-year period bonds are outstanding is approximately $40.91 for every $100,000 or $265 for the average assessed home value of $647,000; raising approximately $25,000,000/year.

City Attorney's Impartial Analysis of Measure L

This measure was placed on the ballot by the City Council of the City of Berkeley ("City").

If the measure is approved by two-thirds of the electors voting on it, the City would be authorized to issue $650 million of general obligation bonds to finance the acquisition and improvement of real property for affordable and social housing ("Affordable Housing Improvements") and public infrastructure and facilities ("Infrastructure Improvements") (collectively, the "Improvements").

For the Affordable Housing Improvements, proceeds of the bonds will be used to acquire or improve affordable and social housing either by the City directly or indirectly through third parties.

Proceeds of the bonds may be used to reimburse the City for amounts advanced from the general fund or other funds or accounts to pay for expenditures on the Improvements that are paid prior to the availability of bond proceeds.

The City may have the opportunity to leverage federal, state, county and regional funds allocated for the Improvements if it issues the bonds.

This measure includes financial accountability requirements to ensure that the expenditure of bond proceeds will be used for the purpose of financing Improvements and related costs. Financial accountability measures include an annual independent financial audit and annual oversight by an Affordable Housing and Infrastructure Bond Oversight Committee appointed by the City Council. In addition, the City Manager would be required to file an annual report with the City Council regarding the amount of bond funds collected and expended, as well as the status of the Improvements. Relevant City commissions would also make recommendations on projects and expenditures proposed to be funded by the bonds.

This measure provides that the maximum rate of interest to be paid on the bonds shall not exceed twelve percent (12%), though the prevailing interest rates could be less.

Financial Implications:
The bonds will be payable from ad valorem taxes levied on real property in the City of Berkeley. The City estimates that the median annual tax rate over the 48-year period that the bonds are projected to be outstanding would be approximately $40.91 for every $100,000 of assessed value, or $265 for the average assessed home value of $647,000. The City estimates that the average (mean) annual tax rate that would be required to be levied is approximately $39 for every $100,000 of assessed value. The City estimates that the highest tax rate that would be required to be levied is approximately $71 per $100,000 of assessed value, which the City projects will begin to apply in 2041-42.

The City estimates that the total debt service, including the principal and interest, that would be required to be repaid if all the bonds are issued and sold is $1,125,000,000.

The above statement is an impartial analysis of Measure L.

s/FARIMAH FAIZ BROWN
Berkeley City Attorney